

The complaint

Mrs J has complained about the decision of Ageas Insurance Limited to decline her claim made under her home insurance policy following a flood.

Mrs J is being represented by her grandson, Mr J.

What happened

I have previously issued a provisional decision regarding this complaint. The following represents excerpts from my provisional decision, outlining the background to this complaint and my provisional findings, and forms part of this final decision:

"In August 2020, the area where Mrs J's home is located experienced very heavy rain. The property sits at the confluence of two rivers. Mr J saw that the riverbank at the end of the garden was falling into the river, taking with it parts of the garden. A few days later, a drainage engineer from the county council visited and confirmed that the erosion was the result of a flooding event. The engineer recommended contacting Ageas as the home insurer.

Ageas initially considered the claim under the cover provided for landslip, and declined it on the basis that erosion of riverbanks was excluded under the policy. Mr J explained to Ageas that the damage was the result of flood, and that the claim was made on that basis. Mr J arranged for a structural engineer to visit, and his inspection also concluded that the damage was caused by flood.

Ageas appointed a loss adjuster to inspect the damage. He agreed that the damage was caused by flood. However, he stated that land forming the riverbank and garden was not included within the policy definition of buildings, and also noted that there was a specific exclusion in the policy for 'garden items'. As a result, Ageas maintained its decision to decline the claim.

Mr J sought further advice from another engineer, and an insurance risk manager. The risk manager commented that the engineers who had inspected the damage had found that the riverbank was not made of earth alone, but that there had been a dry stone wall on stone foundations. He suggested the claim should be covered under flood, on the basis that it had caused damage to a retaining wall.

On Mrs J's behalf, Mr J brought a complaint about Ageas' decision to decline the claim to this service.

Our investigator initially upheld this complaint. Noting that the policy definition of buildings included garden walls, her view was that photos after the flood indicated there had been a structure built of stone within the riverbank before the floods caused damage to it. The investigator suggested that this structure was a garden wall.

Ageas disagreed with these findings. It stated that when the damage was first reported, it was told that the flood had not caused any damage to buildings, including walls. Ageas'

opinion was that the damage experienced had been to the riverbank and garden, and that these were not covered by the policy.

Our investigator reassessed the evidence and concluded that the complaint should not be upheld. Her revised view was that there was insufficient evidence to show that a wall, or any other structure covered by the insurance policy, had been damaged by the flood.

Mr J asked that this case be passed to an ombudsman for review. He has highlighted that Ageas initially treated the claim as one for landslip rather than flood. He has asked that Ageas confirm who made this initial decision, and what their qualifications were to do so. Mr J also says that Ageas did not immediately send out a loss adjuster to inspect the damage. And he does not consider that the loss adjuster carried out a thorough investigation, stating that he did not enter the river to view the extent of the damage.

Mr J says that there was a wall on the riverbank prior to the flood, and that the wall and riverbank have been maintained in recent years by him and other family members. Mr J reports that much of the upper level of the wall was covered in vegetation, and the lower level and foundations weren't visible.

In relation to the policy cover, Mr J has mentioned the Flood Re scheme that helps make premiums more affordable for policyholders in areas at greater risk of flooding. He says that he has recently found out that Ageas works with Flood Re, and he has questioned why Ageas has never explained this to Mrs J or offered to cover her property within the scheme due to her proximity to the river.

Mr J has suggested that if Ageas cannot deal with the entirety of the claim, it would be fair for it to at least pay for a part of it. He has provided further photos of the riverbank taken after the flood, and he says that these show evidence of a wall being in place.

What I've provisionally decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Initially I should comment on what Mr J has said about Ageas working within the Flood Re scheme. The complaint made by Mrs J to Ageas was about its decision to decline her claim for damage caused by the August 2020 flood. Ageas' involvement with the Flood Re scheme did not form part of the complaint raised with Ageas, and consequently I will not be considering that matter in this decision. If Mrs J wishes to raise further concerns with Ageas that relate to the Flood Re scheme, in the first instance she will need to address this directly with Ageas.

Within this decision I have considered whether, taking into account the policy terms, Ageas acted fairly when declining this claim.

As Mr J has highlighted, when Ageas was first approached about the claim, it treated the insured event that had taken place as landslip. The expert evidence which was subsequently provided determined that the damage had in fact been caused by flood. Mr J is unhappy that Ageas initially considered the event as landslip, and he has pressed for Ageas to confirm who reached this conclusion and what qualifications they had to do so.

Although I understand Mr J's concerns in this regard, overall my view is that I do not need to determine this in order to reach an outcome on this complaint. Both Mr J and Ageas now agree that this claim should be considered as one for flood damage. The key issue for me to

assess is whether Ageas acted reasonably when stating that the terms of the policy do not cover this damage.

The policy provides cover for flood damage to 'buildings'. The word 'buildings' is defined in the policy as "(t)he **home** and fixtures and fittings, garden walls, gates, fences, paths, drives and patios, carports, permanent swimming pools...but not **garden items**."

'Garden items' are defined as "(f)lower beds, hedges, lawns, potted plants, shrubs or trees outside the **buildings**".

Ageas has declined the claim on the basis that the damage caused by the flood was restricted to the garden, rather than damaging anything that falls under the policy definition for buildings.

Mr J has said that there was a garden wall by the riverbank which was washed away by the flood. The building definition clearly includes garden walls, and so in my view damage to garden walls caused by a flood would be covered by the policy. But Ageas' view is that there was not a garden wall at Mrs J's property that was damaged by the flood.

In order to assess this matter, I have weighed up the evidence that both parties have provided. Mr J has given this service a description of the structure which was in place by the riverbank prior to the flood:

"The wall was permanent and constructed of stone laid on bedrock (a few inches into the riverbed) which provided the foundations which was layered with stone and earth (to the garden level)."

Mr J has also told us that much of the upper level of the wall was covered in vegetation, and the lower levels plus the foundations weren't visible.

Whilst I appreciate that Mr J has questioned whether Ageas' loss adjuster conducted a sufficiently detailed inspection of the flood damage, I consider it reasonable to take into account the content of his report. The loss adjuster does not mention a wall being in place by the riverbank. In addition, within the detailed description of events that Mr J provided in his initial submissions to this service, neither the council drainage engineer nor the structural engineer appointed by Mrs J mentioned a wall.

Mr J has forwarded the comments of the insurance risk manager. The risk manager refers to looking at documentation and photos, so it's not clear to me that he actually visited Mrs J's property. He says that "you have been able to ascertain the remains of a stone wall with large rocks as the foundations." To me, this wording indicates a degree of uncertainty about what exact structure was in place by the riverbank.

I have listened to a recording of the phone call that Mrs J made to Ageas when first reporting the claim. Mrs J makes several references to the riverbank collapsing as a result of the flood. However, she makes no mention of a wall being in place by the riverbank. Ageas' internal records for the claim also include a summary of a conversation it had with Mrs J's daughter. The record says that Mrs J's daughter advised that there were gabions and boulders in place by the riverbank, but doesn't refer to there being a wall.

On my behalf, our investigator asked Mr J if he could provide any reports from individuals who inspected the damage in which they said that a garden wall had been in place. In response Mr J has forwarded the comments of the engineer who carried out the repair work.

The engineer stated that in the course of the repairs “the remains of an existing & damaged block stone foundation & stone wall which supported the main stone retaining wall were removed.” Whilst I note these comments, I am mindful that the repairing engineer would have seen the damaged riverbank some time after the flood event, in my opinion making it more difficult to provide a detailed description of what structure had been in place prior to the flood.

As already explained, in providing cover for flood, the policy covers damage to items including garden walls. I have carefully considered the evidence provided, including the comments of the experts provided by both parties. Overall, my view is that whilst there may have been a structure or barrier of some sort in place by the riverbank before the flood, it has not been shown that this structure could reasonably be described as a garden wall. From Mr J’s description, the structure at the riverbank was only partially visible before the flood, and it’s difficult to determine exactly what that structure was. On balance I do not consider that it’s been shown that ‘buildings’ in the form of a garden wall suffered damage due to the flood.

I am sorry to learn about the damage that Mrs J experienced in her garden as a result of the flooding event that occurred, and I appreciate that my findings are likely to come as a disappointment to her. However, my current view is that Ageas acted fairly when it declined the claim made.

Responses to my provisional decision

Ageas did not provide any substantive response to my provisional decision.

Mr J explained that he was disappointed with the outcome reached. He has said that when they first reported the incident to Ageas, they were asked if the house itself had been damaged by the flood. They confirmed it had not been.

Mr J has highlighted that garden walls are covered by the policy under the buildings definition. He has said that a garden retaining wall was in place before the flood, and that the structural engineer who first visited the site had also stated this. Mr J has referred to the photographs he has provided following the flood, and has stated that these show “a retaining wall of sort” was in place before the flood. He has also referred to the statement previously provided by the contractors who have carried out repairs at the site. Mr J considers that Ageas has failed to provide evidence that a wall or structure was not present before the flood.

Mr J has said that Ageas is classing a retaining wall as a ‘garden item’. He has emphasised that he appreciates the policy does not provide cover for garden items, and no claim is being made for such items.

What I’ve decided – and why

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

As Mr J has stated, it is the case that the policy provides cover for garden walls damaged by certain events, including flood. The issue I have to determine is whether Ageas acted fairly when declining the claim made on the basis that the flood had not damaged any element of the buildings, including any garden walls.

I appreciate that it is Mr J’s firm contention that there was a garden wall by the riverbank that the flood washed away. But based on the evidence provided, my view remains that there is

uncertainty about what exact structure was in place by the riverbank before the flood. In his response to my provisional decision, Mr J has described the structure as a retaining wall of sorts. Mr J has stated that Ageas has not provided evidence that a wall wasn't in place prior to the flood. But in my view, it's for the policyholder to show on balance that something which is covered by the policy has been damaged by an insured event.

I don't consider that Ageas is classing a retaining wall as a garden item. Instead, it has stated that the flood did not damage any part of the buildings, including any garden walls. Based on the evidence provided, I consider that Ageas has acted fairly when reaching this conclusion, on the basis that it has not been shown that the flood damaged a structure that could reasonably be described as a garden wall. Consequently my view is that it should not be required to cover the damage sustained as a result of the flood.

My final decision

My final decision is that I do not uphold this complaint, and I make no award.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs J to accept or reject my decision before 9 July 2021.

John Swain
Ombudsman